

on sellers to sell fund shares, but on buyers to buy them. The risks of such a sea change were enormous, but so were the opportunities.

On February 7, 1977, after yet another divisive battle and another board decision that was closely won, we made an unprecedented overnight conversion to a no-load, sales-charge-free marketing system. Once again, we've never looked back. We've never had to. With the extraordinarily low operating expenses that became our hallmark—a product of our mutual structure and our cost discipline—offering our shares without sales commissions proved a logical and timely step into a world that would be increasingly driven by consumer choice and the search for value. The motto of our marketing strategy: “If you build it, they will come” (a now-familiar phrase that inspired the creation of a baseball diamond, of all things, in Iowa, immortalized in the film *Field of Dreams*). And, though what we had built took years to reach full fruition, come the investors did, first by thousands, and then by the millions.

A Stunning Endorsement from the Court of Last Resort

The diamonds Vanguard had accumulated during those struggles, however, were not yet quite in our possession. We held them only on loan. For the Securities and Exchange Commission (SEC) had given us only a temporary order allowing us to take some of these crucial steps. Believe it or not, after a tedious weeklong regulatory hearing, the SEC staff ruled *against* our unprecedented plan. Aghast, for I knew that what we were doing was right for investors, we mounted a vigorous appeal and—after a struggle that lasted four long years—triumphed at last in 1981, when the SEC did an about-face and at last approved our plan. The Commission did so with a rhetorical flourish that concluded with these words:

The Vanguard plan . . . actually furthers the [1940 Investment Company] Act's objectives, . . . fosters improved disclosure to shareholders, . . . clearly enhances the Funds' independence,